

# HOUSING FINANCE

Head Office: Rehani House, Koinange/ Kenyatta Avenue St. P.O.Box 30088, 00100 - Nairobi, Kenya.  
Tel: ( +254 20) 317474,3262000 Fax: ( +254 20) 340299, E-Mail: housing@housing.co.ke.  
Website: <http://www.housing.co.ke>



## AUDITED FINANCIAL STATEMENTS AND DISCLOSURES FOR THE PERIOD ENDED 31 DECEMBER 2011

| I STATEMENT OF FINANCIAL POSITION                            | GROUP                              |                                    | COMPANY                            |                                    |
|--------------------------------------------------------------|------------------------------------|------------------------------------|------------------------------------|------------------------------------|
|                                                              | 31.12.2010<br>Audited<br>(Ksh'000) | 31.12.2011<br>Audited<br>(Ksh'000) | 31.12.2010<br>Audited<br>(Ksh'000) | 31.12.2011<br>Audited<br>(Ksh'000) |
| <b>A. ASSETS</b>                                             |                                    |                                    |                                    |                                    |
| 1 Cash balances                                              | 101,224                            | 119,721                            | 101,224                            | 119,721                            |
| 2 Balances due from Central Bank of Kenya                    | -                                  | -                                  | -                                  | -                                  |
| 3 Government securities                                      | 539,835                            | 379,847                            | 539,835                            | 379,847                            |
| 4 Foreign Currency Treasury bills and bonds                  | -                                  | -                                  | -                                  | -                                  |
| 5 Deposits and balances due from banking institutions        | 8,185,432                          | 4,988,496                          | 8,185,419                          | 4,988,484                          |
| 6 Deposits and balances due from banking institutions abroad | -                                  | -                                  | -                                  | -                                  |
| 7 Government and other securities held for dealing purposes  | -                                  | -                                  | -                                  | -                                  |
| 8 Tax recoverable                                            | -                                  | -                                  | -                                  | -                                  |
| 9 Loans and advances to customers (net)                      | 19,503,400                         | 25,222,836                         | 19,503,400                         | 25,222,836                         |
| 10 Investment securities                                     | -                                  | 56,000                             | -                                  | 56,000                             |
| 11 Balances due from group companies                         | -                                  | -                                  | -                                  | -                                  |
| 12 Investment in associates                                  | -                                  | -                                  | -                                  | -                                  |
| 13 Investment in subsidiary companies                        | -                                  | -                                  | 130,020                            | 130,020                            |
| 14 Investment in Joint ventures                              | -                                  | -                                  | -                                  | -                                  |
| 15 Investment properties                                     | -                                  | -                                  | -                                  | -                                  |
| 16 Property and equipment                                    | 600,417                            | 705,208                            | 594,341                            | 699,208                            |
| 17 Prepaid operating lease rentals                           | 48,615                             | 47,973                             | 41,710                             | 41,249                             |
| 18 Intangible assets                                         | 3,085                              | 2,578                              | 3,068                              | 2,571                              |
| 19 Deferred tax asset                                        | 76,050                             | 81,949                             | 23,006                             | 81,877                             |
| 20 Retirement benefit asset                                  | -                                  | -                                  | -                                  | -                                  |
| 21 Other assets                                              | 220,338                            | 266,308                            | 203,818                            | 250,300                            |
| <b>22 TOTAL ASSETS</b>                                       | <b>29,278,396</b>                  | <b>31,870,916</b>                  | <b>29,325,841</b>                  | <b>31,972,113</b>                  |
| <b>B. LIABILITIES</b>                                        |                                    |                                    |                                    |                                    |
| 23 Balances due to Central Bank of Kenya                     | -                                  | -                                  | -                                  | -                                  |
| 24 Customer deposits                                         | 15,943,341                         | 18,671,586                         | 15,945,317                         | 18,674,421                         |
| 25 Deposits and balances due to local banking institutions   | -                                  | -                                  | -                                  | -                                  |
| 26 Deposits and balances due to foreign banking institutions | -                                  | -                                  | -                                  | -                                  |
| 27 Other money market deposits                               | -                                  | -                                  | -                                  | -                                  |
| 28 Borrowed funds                                            | 8,604,269                          | 8,016,105                          | 8,604,269                          | 8,016,105                          |
| 29 Balances due to group companies                           | -                                  | -                                  | 14,958                             | 14,958                             |
| 30 Tax payable                                               | 26,337                             | 135,934                            | 50,441                             | 160,036                            |
| 31 Dividends payable                                         | -                                  | -                                  | -                                  | -                                  |
| 32 Deferred tax liability                                    | -                                  | -                                  | -                                  | -                                  |
| 33 Retirement benefit liability                              | -                                  | -                                  | -                                  | -                                  |
| 34 Other liabilities                                         | 447,042                            | 329,927                            | 441,326                            | 324,374                            |
| <b>35 TOTAL LIABILITIES</b>                                  | <b>25,020,989</b>                  | <b>27,153,552</b>                  | <b>25,056,311</b>                  | <b>27,189,894</b>                  |
| <b>C. SHAREHOLDERS' FUNDS</b>                                |                                    |                                    |                                    |                                    |
| 36 Paid up capital                                           | 1,150,000                          | 1,152,125                          | 1,150,000                          | 1,152,125                          |
| 37 Share premium                                             | 1,549,173                          | 1,551,298                          | 1,549,173                          | 1,551,298                          |
| 38 Revaluation reserve                                       | 449,202                            | 512,332                            | 449,202                            | 512,332                            |
| 39 Retained earnings                                         | 475,040                            | 952,848                            | 487,163                            | 1,017,703                          |
| 40 Statutory Loan Loss Reserve                               | 502,742                            | 336,713                            | 502,742                            | 336,713                            |
| 41 Proposed dividends                                        | 80,500                             | 161,298                            | 80,500                             | 161,298                            |
| 42 Capital grants                                            | 50,750                             | 50,750                             | 50,750                             | 50,750                             |
| <b>43 TOTAL SHAREHOLDERS' FUNDS</b>                          | <b>4,257,407</b>                   | <b>4,717,364</b>                   | <b>4,269,530</b>                   | <b>4,782,219</b>                   |
| <b>44 TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS</b>          | <b>29,278,396</b>                  | <b>31,870,916</b>                  | <b>29,325,841</b>                  | <b>31,972,113</b>                  |

| II STATEMENT OF COMPREHENSIVE INCOME                  | GROUP                              |                                    | COMPANY                            |                                    |
|-------------------------------------------------------|------------------------------------|------------------------------------|------------------------------------|------------------------------------|
|                                                       | 31.12.2010<br>Audited<br>(Ksh'000) | 31.12.2011<br>Audited<br>(Ksh'000) | 31.12.2010<br>Audited<br>(Ksh'000) | 31.12.2011<br>Audited<br>(Ksh'000) |
| <b>1 INTEREST INCOME</b>                              |                                    |                                    |                                    |                                    |
| 1.1 Loans and advances                                | 2,221,791                          | 2,911,341                          | 2,221,791                          | 2,911,341                          |
| 1.2 Government Securities                             | 35,222                             | 36,222                             | 35,222                             | 36,222                             |
| 1.3 Deposits and Placements with banking institutions | 218,801                            | 516,516                            | 218,802                            | 516,516                            |
| 1.4 Other interest income                             | -                                  | -                                  | -                                  | -                                  |
| <b>1.5 Total Interest income</b>                      | <b>2,475,814</b>                   | <b>3,464,079</b>                   | <b>2,475,815</b>                   | <b>3,464,079</b>                   |
| <b>2 INTEREST EXPENSES</b>                            |                                    |                                    |                                    |                                    |
| 2.1 Customers' Deposits                               | 793,444                            | 850,003                            | 793,472                            | 850,047                            |
| 2.2 Deposits and placements from banking institutions | -                                  | -                                  | -                                  | -                                  |
| 2.3 Other interest expenses                           | 281,382                            | 712,514                            | 281,381                            | 712,514                            |
| <b>2.4 Total Interest expenses</b>                    | <b>1,074,826</b>                   | <b>1,562,517</b>                   | <b>1,074,853</b>                   | <b>1,562,561</b>                   |
| <b>3 NET INTEREST INCOME</b>                          | <b>1,400,988</b>                   | <b>1,901,562</b>                   | <b>1,400,962</b>                   | <b>1,901,518</b>                   |
| <b>4 OTHER OPERATING INCOME</b>                       |                                    |                                    |                                    |                                    |
| 4.1 Fees and commissions on loans and advances        | 103,294                            | 152,142                            | 103,294                            | 152,142                            |
| 4.2 Other fees and commissions                        | 65,185                             | 59,728                             | 64,688                             | 59,728                             |
| 4.3 Foreign exchange trading income                   | -                                  | -                                  | -                                  | -                                  |
| 4.4 Dividend income                                   | -                                  | -                                  | -                                  | -                                  |
| 4.5 Other income                                      | 85,717                             | 79,749                             | 84,474                             | 78,009                             |
| <b>4.5 Total Non interest income</b>                  | <b>254,196</b>                     | <b>291,619</b>                     | <b>252,456</b>                     | <b>289,879</b>                     |
| <b>5 TOTAL OPERATING INCOME</b>                       | <b>1,655,184</b>                   | <b>2,193,181</b>                   | <b>1,653,418</b>                   | <b>2,191,397</b>                   |
| <b>6 OPERATING EXPENSES</b>                           |                                    |                                    |                                    |                                    |
| 6.1 Loan loss provision                               | 238,445                            | 186,297                            | 238,445                            | 186,297                            |
| 6.2 Staff costs                                       | 489,608                            | 601,450                            | 489,511                            | 601,990                            |
| 6.3 Directors emoluments                              | 11,222                             | 23,887                             | 11,222                             | 23,887                             |
| 6.4 Rental charges                                    | 13,131                             | 13,400                             | 12,925                             | 12,978                             |
| 6.5 Depreciation on property and equipment            | 41,352                             | 46,737                             | 41,277                             | 46,737                             |
| 6.6 Amortisation charges                              | 3,362                              | 2,528                              | 3,171                              | 2,518                              |
| 6.7 Other operating expenses                          | 297,036                            | 343,087                            | 296,632                            | 341,438                            |
| <b>6.8 Total Other Operating Expenses</b>             | <b>1,094,156</b>                   | <b>1,217,386</b>                   | <b>1,093,183</b>                   | <b>1,215,845</b>                   |
| <b>7 Profit before tax and exceptional items</b>      | <b>561,028</b>                     | <b>975,795</b>                     | <b>560,235</b>                     | <b>975,552</b>                     |
| <b>8 Exceptional items</b>                            | -                                  | -                                  | -                                  | -                                  |
| 9 Profit before tax but after exceptional items       | 561,028                            | 975,795                            | 560,235                            | 975,552                            |
| 10 Current tax                                        | (186,803)                          | (359,416)                          | (186,803)                          | (359,416)                          |
| 11 Deferred Tax                                       | 5,306                              | 5,899                              | 7,368                              | 58,872                             |
| <b>12 Profit After Tax and exceptional items</b>      | <b>379,531</b>                     | <b>622,278</b>                     | <b>380,800</b>                     | <b>675,008</b>                     |
| Earnings per share                                    | 1.65                               | 2.70                               | 1.66                               | 2.93                               |
| Dividend per share                                    | 0.70                               | 1.20                               | 0.70                               | 1.20                               |

| III DISCLOSURES                                      | GROUP                              |                                    | COMPANY                            |                                    |
|------------------------------------------------------|------------------------------------|------------------------------------|------------------------------------|------------------------------------|
|                                                      | 31.12.2010<br>Audited<br>(Ksh'000) | 31.12.2011<br>Audited<br>(Ksh'000) | 31.12.2010<br>Audited<br>(Ksh'000) | 31.12.2011<br>Audited<br>(Ksh'000) |
| <b>1 Non-Performing Loans and Advances</b>           |                                    |                                    |                                    |                                    |
| a) Gross non-performing loans and advances           | 1,467,815                          | 1,579,576                          | 1,467,815                          | 1,579,576                          |
| b) Less: Interest in Suspense                        | 283,632                            | 234,433                            | 283,632                            | 234,433                            |
| c) Total non-Performing loans and advances (a-b)     | 1,184,183                          | 1,345,143                          | 1,184,183                          | 1,345,143                          |
| d) Less: Loan loss provisions                        | 439,916                            | 386,187                            | 439,916                            | 386,187                            |
| <b>e) Net non-performing loans and advances(c-d)</b> | <b>744,267</b>                     | <b>958,956</b>                     | <b>744,267</b>                     | <b>958,956</b>                     |
| f) Discounted value of securities                    | 744,267                            | 958,956                            | 744,267                            | 958,956                            |
| <b>g) Net Exposure(e-f)</b>                          | -                                  | -                                  | -                                  | -                                  |
| <b>2 Insider loans and advances</b>                  |                                    |                                    |                                    |                                    |
| a) Directors, shareholders and associates            | -                                  | -                                  | -                                  | -                                  |
| b) Employees                                         | 459,860                            | 606,403                            | 459,860                            | 606,403                            |
| <b>c) Total insider Loans and Advances</b>           | <b>459,860</b>                     | <b>606,403</b>                     | <b>459,860</b>                     | <b>606,403</b>                     |
| <b>3 Off-Balance Sheet items</b>                     |                                    |                                    |                                    |                                    |
| a) Letters of credit, guarantees and acceptances     | 1,033                              | 1,033                              | 1,033                              | 1,033                              |
| b) Other contingent liabilities                      | -                                  | -                                  | -                                  | -                                  |
| <b>c) Total contingent liabilities</b>               | <b>1,033</b>                       | <b>1,033</b>                       | <b>1,033</b>                       | <b>1,033</b>                       |
| <b>4 Capital Strength</b>                            |                                    |                                    |                                    |                                    |
| a) Core capital                                      |                                    |                                    | 3,186,337                          | 3,721,126                          |
| b) Minimum Statutory Capital                         |                                    |                                    | 500,000                            | 700,000                            |
| c) Excess/Deficiency                                 |                                    |                                    | 2,686,337                          | 3,021,126                          |
| d) Supplementary capital                             |                                    |                                    | 3,186,337                          | 2,189,975                          |
| e) Total capital (a+d)                               |                                    |                                    | 6,372,674                          | 5,911,101                          |
| f) Total risk weighted assets                        |                                    |                                    | 13,077,391                         | 17,368,931                         |
| g) Core capital /Total deposit liabilities           |                                    |                                    | 19.98%                             | 19.93%                             |
| h) Minimum Statutory Ratio                           |                                    |                                    | 8.00%                              | 8.00%                              |
| i) Excess/Deficiency                                 |                                    |                                    | 11.98%                             | 11.93%                             |
| j) Core capital /Total risk weighted assets          |                                    |                                    | 24.37%                             | 21.42%                             |
| k) Minimum Statutory Ratio                           |                                    |                                    | 8.00%                              | 8.00%                              |
| l) Excess/Deficiency (j-k)                           |                                    |                                    | 16.37%                             | 13.42%                             |
| m) Total capital /Total risk weighted assets         |                                    |                                    | 48.73%                             | 34.03%                             |
| n) Minimum Statutory Ratio                           |                                    |                                    | 12.00%                             | 12.00%                             |
| o) Excess/Deficiency (m-n)                           |                                    |                                    | 36.73%                             | 22.03%                             |
| <b>5 Liquidity</b>                                   |                                    |                                    |                                    |                                    |
| a) Liquidity Ratio                                   |                                    |                                    | 55.73%                             | 29.10%                             |
| b) Minimum Statutory Ratio                           |                                    |                                    | 20.00%                             | 20.00%                             |
| c) Excess(Deficiency) (a-b)                          |                                    |                                    | 35.73%                             | 9.10%                              |

*We speak your language. Let's talk. ...home*

*...buy this*

*...we could*

*...only*

*If...*

**OWNER OCCUPIER MORTGAGE**

Today, we can turn your dream into reality. Turning you from a tenant into a homeowner. Just ask about our Owner Occupier Mortgage. And before long, you'll hold the keys to your own home. Owner Occupier Mortgage is the result of over 45 years of offering people like you full homeownership solutions. So let's talk. In a language that says we know where you are coming from. And where you need to go.

**OWNER OCCUPIER FEATURES:** FINANCES UP TO 95% OF THE VALUE OF THE PROPERTY

**45 years**  
Turning dreams into homes

**Housing Finance**

For more information, visit any of our branches countrywide or call us on  
**020 3262000 / 020 317474**  
**0722 201174 / 0722 201175**

**Annual General Meeting**  
Notice is hereby given that the 46th Annual General Meeting of the Company will be held at the Bomas of Kenya Auditorium in Nairobi on Friday 27 April 2012 at 11.00am

**Dividend**  
The Directors have resolved to recommend to members at the forthcoming Annual General Meeting a final dividend for the year of **Ksh 0.70 per share** to be paid on or about **27th July 2012** to share holders registered at the close of business on **28th June 2012**.

**Message from the Directors**  
The above Statement of Financial Position and Statement of Comprehensive Income are extracts from the Group's Financial Statements. The Financial Statements were approved by the board of directors on the 21st February 2012 and were signed on its behalf by:

**Mr. Steve Omenge Mainda**  
Chairman

**David R Ansell**  
Director

**Frank Ireri**  
Managing Director